

The Co-operative Bank of Kenya Limited

The Board of Directors of The Co-operative Bank of Kenya Limited are pleased to announce the Audited Results of the Group and the Bank for the Period ended 31 December 2009



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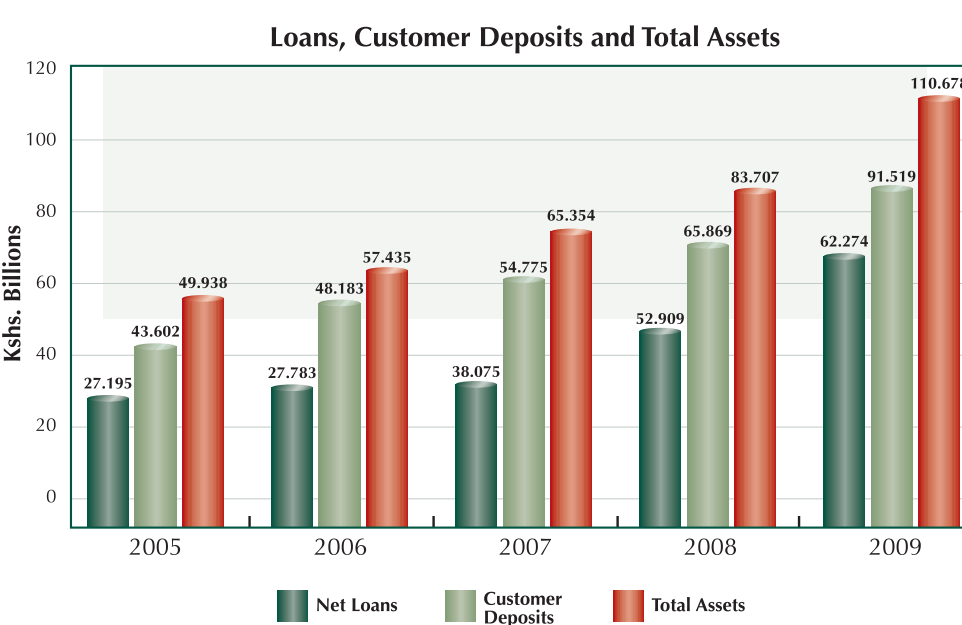
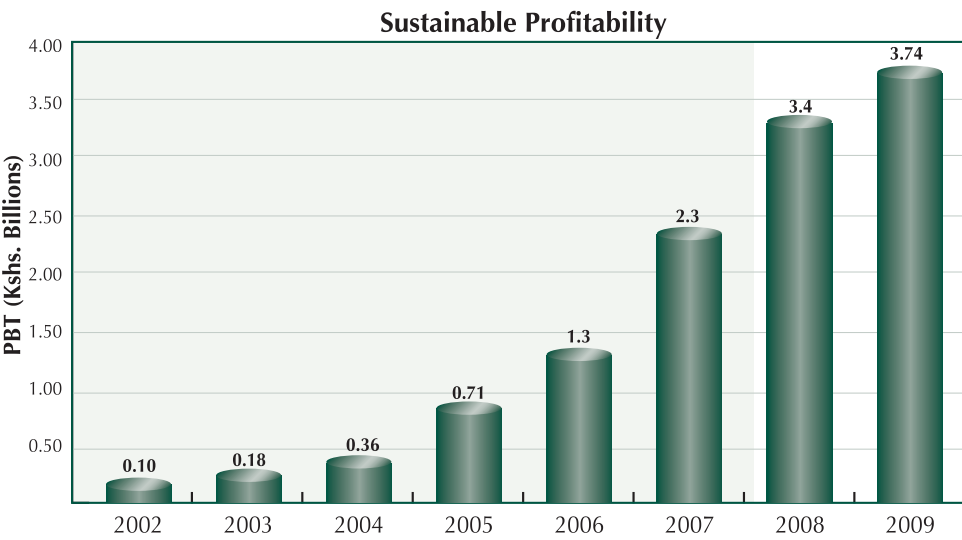
	GROUP		BANK	
	31 Dec '09 KSHS. '000 Audited	31 Dec '08 KSHS. '000 Audited	31 Dec '09 KSHS. '000 Audited	31 Dec '08 KSHS. '000 Audited
I BALANCE SHEET				
A ASSETS				
1 Cash (local and foreign)	4,202,707	3,340,086	4,202,707	3,340,086
2 Balances due from Central Bank Of Kenya	4,348,757	3,172,598	4,348,757	3,172,598
3 Kenya Government securities	22,081,293	9,131,520	22,081,293	9,131,520
4 Foreign Currency Treasury bills and bonds	-	-	-	-
5 Deposits and balances due from local banking institutions	1,007,200	220,000	1,007,200	220,000
6 Deposits and balances due from banking institutions abroad	3,635,138	2,763,683	3,635,138	2,763,683
7 Government and other securities held for dealing purposes	4,362,481	3,725,518	4,270,140	3,722,869
8 Tax recoverable	-	-	-	-
9 Loans and advances to customers (net)	62,274,194	52,908,544	62,274,421	52,908,544
10 Investment Securities	54,319	55,719	54,319	55,719
11 Balances due from group companies	-	-	17,689	-
12 Investments in associates	-	-	-	-
13 Investments in subsidiary companies	-	-	250,000	100,000
14 Investment in joint ventures	-	-	-	-
15 Investment in properties	-	-	-	-
16 Property and equipment	5,651,410	4,052,624	5,625,875	4,047,126
17 Prepaid lease rentals	40,704	41,317	40,704	41,317
18 Intangible assets	541,265	249,285	286,454	245,868
19 Deferred tax asset	79,611	69,935	78,644	69,425
20 Retirement benefit asset	-	-	-	-
21 Other assets	2,399,013	3,755,026	2,358,032	3,714,148
23 TOTAL ASSETS	110,678,092	83,485,855	110,531,373	83,532,903
B LIABILITIES				
23 Balances due to Central Bank Of Kenya	-	-	-	-
24 Customer deposits	91,518,733	65,853,725	91,552,508	65,934,453
25 Deposits and balances due to local banking institutions	1,010,216	1,225,427	1,010,216	1,225,427
26 Deposits and balances due to foreign banking institutions	-	-	-	-
27 Other money market deposits	-	-	-	-
28 Borrowed funds	208,827	303,193	203,974	303,193
29 Balances due to group companies	-	-	3,291	-
30 Tax payable	110,842	133,790	116,347	133,493
31 Dividends payable	-	-	-	-
32 Deferred tax liability	-	-	-	-
33 Retirement benefit liability	-	-	-	-
34 Other liabilities	1,537,882	2,360,580	1,541,779	2,387,308
35 Total liabilities	94,386,501	69,876,715	94,428,115	69,983,874
C SHAREHOLDERS' EQUITY				
36 Paid up/assigned capital	3,492,370	3,492,370	3,492,370	3,492,370
37 Share premium/(discount)	4,286,736	4,286,735	4,286,736	4,286,735
38 Revaluation reserve	366,860	359,943	354,039	359,943
39 Retained earnings/ Accumulated losses	6,501,449	4,253,642	6,432,563	4,193,531
40 Statutory Loan Loss Reserve	203,019	210,708	203,019	210,708
41 Proposed dividends	698,474	349,237	698,474	349,237
42 Capital grants	636,058	656,505	636,058	656,505
43 TOTAL SHAREHOLDERS' FUNDS	16,184,966	13,609,140	16,103,259	13,549,029
43.1 Non-Controlling Interest	106,626	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	110,678,092	83,485,855	110,531,373	83,532,903
II PROFIT AND LOSS ACCOUNTS				
1.0 INTEREST INCOME				
1.1 Loans and advances	7,441,411	5,869,019	7,441,411	5,869,019
1.2 Government securities	1,501,757	1,227,857	1,501,757	1,220,494
1.3 Deposits and placements with banking Institutions	49,307	36,258	49,307	36,258
1.4 Other Interest Income	71,153	291,513	70,231	291,513
1.5 Total Interest Income	9,063,627	7,424,647	9,062,705	7,417,284
2.0 INTEREST EXPENSE				
2.1 Customer deposits	2,192,508	1,530,165	2,192,508	1,530,165
2.2 Deposits and placements from banking institutions	62,184	159,081	62,184	159,081
2.3 Other Interest Expenses	39,647	39,510	39,647	39,510
2.4 Total Interest Expenses	2,294,340	1,728,756	2,294,340	1,728,756
3.0 NET INTEREST INCOME/(LOSS)	6,769,288	5,695,891	6,768,365	5,688,528
4.0 NON- OPERATING INCOME				
4.1 Fees and commissions on loans and advances	639,482	524,377	639,482	524,377
4.2 Other Fees and commissions	2,775,992	2,694,722	2,659,243	2,610,513
4.3 Foreign exchange trading income/(loss)	375,887	493,581	375,887	493,581
4.4 Dividend income	7,154	-	7,154	-
4.5 Other income	1,150,383	242,102	1,104,636	237,842
4.6 Total Non-interest income	4,948,898	3,954,782	4,786,403	3,866,313
5.0 TOTAL OPERATING INCOME	11,718,186	9,650,673	11,554,768	9,554,841
6.0 OTHER OPERATING EXPENSES				
6.1 Loan loss provision	628,384	403,262	628,384	403,262
6.2 Staff costs	3,844,312	2,933,547	3,777,941	2,903,461
6.3 Directors' emoluments	75,512	70,789	63,639	57,127
6.4 Rental charges	400,973	342,396	398,891	340,314
6.5 Depreciation charge on property and equipment	605,392	425,419	600,100	423,889
6.6 Armortisation charges	83,692	58,492	82,383	57,966
6.7 Other operating expenses	2,344,226	2,057,649	2,276,577	2,031,542
6.8 Total other operating expenses	7,982,491	6,291,554	7,827,915	6,217,561
7.0 Profit/(Loss) before tax and exceptional items	3,735,695	3,359,119	3,726,854	3,337,280
8.0 Exceptional items	-	-	-	-
9.0 Profit/(Loss) before tax	3,735,695	3,359,119	3,726,854	3,337,280
10 Current tax	777,409	1,037,496	777,216	1,030,747
11 Deferred tax	(9,676)	(52,315)	(9,219)	(51,775)
12 Profit/(loss) after tax and exceptional items	2,967,963	2,373,938	2,958,856	2,358,308

DIVIDEND
The Directors have resolved to recommend to the Members at the forthcoming Annual General Meeting, the payment of a dividend for the year 2009 of 20 cents per share to be paid on or about 25 June 2010 to the shareholders registered at the close of business on 3rd June 2010. The register of members will be closed for one day on 4th June 2010.

ANNUAL GENERAL MEETING
Notice is hereby given that the second Annual General Meeting of The Co-operative Bank of Kenya Limited will be held on 28 May 2010 at a venue to be advised.

MESSAGE FROM THE DIRECTORS
The above Balance Sheet and Profit & Loss account are extracts from the Bank's financial statements which have been audited by Ernst & Young and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at Co-operative House for inspection after approval by members at the Annual General Meeting.

	GROUP		BANK	
	31 Dec '09 KSHS. '000 Audited	31 Dec '08 KSHS. '000 Audited	31 Dec '09 KSHS. '000 Audited	31 Dec '08 KSHS. '000 Audited
III OTHER DISCLOSURES				
1. NON PERFORMING LOANS AND ADVANCES				
a) Gross non-performing loans and advances	6,555,866	9,433,591	6,555,866	9,433,591
Less				
b) Interest in suspense	1,242,944	2,828,162	1,242,944	2,828,162
c) Total Non-performing loans (a-b)	5,312,922	6,605,429	5,312,922	6,605,429
Less				
d) Loan loss provisions	2,459,248	4,296,093	2,459,248	4,296,093
e) Net Non performing loans (c-d)	2,853,674	2,309,336	2,853,674	2,309,336
f) Realizable Value of Securities	1,966,422	2,118,081	1,966,422	2,118,081
g) Net NPLs Exposure (e-f)	887,252	191,255	887,252	191,255
2. Insider loans and advances				
a) Directors, Shareholders and associates	132,306	148,834	132,306	148,834
b) Employees	3,543,965	2,575,090	3,543,965	2,575,090
c) Total insider loans, Advances and Other Facilities	3,676,271	2,723,924	3,676,271	2,723,924
3. Off-Balance Sheet Items				
a) Letters of credit,guarantees, acceptances	7,662,651	5,118,882	7,662,651	5,118,882
b) Other contingent liabilities	-	-	-	-
c) Total contingent liabilities	7,662,651	5,118,882	7,662,651	5,118,882
4. Capital strength				
a) Core capital			14,823,416	13,227,264
b) Minimum Statutory Capital			250,000	250,000
c) Excess/(Deficiency)			14,573,416	12,977,264
d) Supplementary capital			495,503	327,471
e) Total capital (a+d)			15,318,919	13,554,735
f) Total risk weighted assets			72,927,893	57,313,137
g) Core capital/total deposit liabilities			16.0%	18.9%
h) Minimum Statutory Ratio			8.0%	8.0%
i) Excess/(Deficiency)			8.0%	10.9%
j) Core capital/total risk weighted assets			20.3%	22.0%
k) Minimum Statutory Ratio			8.0%	8.0%
l) Excess/(Deficiency)(j-k)			12.3%	14.0%
m) Total capital/total risk weighted assets			21.0%	23.5%
n) Minimum Statutory Ratio			12.0%	12.0%
o) Excess/(Deficiency)(m-n)			9.0%	11.5%
5. Liquidity				
a) Liquidity Ratio			34.9%	33.1%
b) Minimum Statutory Ratio			20.0%	20.0%
c) Excess/(Deficiency)(a-b)			14.9%	13.1%



The financial statements were approved by the Board of Directors on 10th March 2010 and signed on its behalf by:
S C Muchiri, EBS
Chairman
G M Muriuki, OGW
Group Managing Director & CEO